APPLY THE TEST: EXTERNAL STABILITY & DISTRIBUTION OF INCOME

How do we judge these HSC objectives?

A EXTERNAL STABILITY

DEFINITION: Manageable external accounts and foreign liabilities.

POLICY EXAMPLES:

- Monetary policy
- Fiscal discipline
- Trade diversification



KEY INDICATORS (DEC 2025)

- Current account deficit $21.1b (Dec 2025)
- Net international investment liabilities $638.5b (Dec 2025)

ALSO WATCH:

- Exchange rate
- Exports
- Imports

VERDICT:

MANAGEABLE / MIXED

Australia is not in crisis, but external deficits and foreign liabilities mean this objective still needs watching.

B DISTRIBUTION OF INCOME

DEFINITION: Fairness and equity in how income is shared.



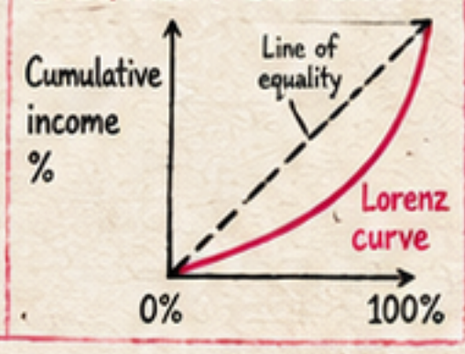
POLICY EXAMPLES:

- Tax cuts
- Transfer payments
- Cost-of-living relief
- Minimum wage / social wage

KEY INDICATORS

- Income Gini 0.307 (2022–23)
- Households still face cost-of-living and housing pressure.

INEQUALITY SNAPSHOT



VERDICT:

PARTIAL SUCCESS

Support measures help, but living-cost pressure and inequality remain concerns.

HSC TIP

Explain who gains, who loses, and whether the policy improved equity.

COMPARE THE OBJECTIVES: WHAT TO LOOK FOR

EXTERNAL STABILITY – CHECKLIST

- ☑ Current Account Deficit (CAD): size and trend
- ☑ Net international investment liabilities: size and trend
- ☑ Exchange rate: stable or volatile? Does it help competitiveness?

DISTRIBUTION OF INCOME – CHECKLIST

- ☑ Income Gini: improving or worsening?
- ☑ Real incomes: are most households better off?
- ☑ Cost of living: are pressures easing?
- ☑ Access to essentials: housing, health, education, services.

FINAL TAKEAWAY

Good evaluation asks not only "Did the economy grow?" but also "Who benefited?" and "Is the position sustainable?"